Management accounting

For a company's management to anticipate profit and loss, plan cash flow, and set effective goals for the business, the coming year's incomings and outgoings need to be set out in detail. Unlike financial accounting, which is primarily for external users such as investors, lenders, or regulators, management or cost accounting takes place within a business to project expected sales revenue and expenses, so that the business can decide how to best use its available resources.

Management accounting process

Planning is done for the financial (fiscal) year that lies ahead—this is also called the accounting year and is made up of 12 consecutive months. Start and end dates differ from country to country.

Department budgets

Managers estimate what funds will be needed for expected outgoings. *See pp.136–137.*

Purchase orders (POs)

15,000

POs tell the finance department exactly how much money to reserve for payment.

Timesheets

Staff employed on an hourly or daily basis fill in timesheets; these help managers to calculate overall staff costs. *See pp.140–141.*

Invoices

Invoices submitted by contractors and suppliers have to be matched against purchase orders and paid out. *See pp.134–135.*

Goods received

Employees log receipt of merchandise, describing what the goods or services are and the quantity received.

Management

Managers create budgets and document business costs to monitor business performance, and plan for the short and medium term. The information they collate sheds light on the financial implications of ongoing projects.

Information is passed to finance department